(5) INCOME TAXES

The components of the provision for federal and state income taxes in the accompanying consolidated statements of income are as follows:

	2005	2004	2003
Taxes currently payable	$ 5,720,000	$ 1,994,000	$ 2,190,000
Deferred income taxes	(1,760,000)	(644,000)	(640,000)
Income tax expense	$ 3,960,000	$ 1,350,000	$ 1,550,000

A reconciliation of income tax expense at the statutory rate to the Company's actual income tax expense is as follows:

	2005	2004	2003
Computed at statutory rate (34%)	$ 4,659,000	$ 1,333,000	$ 1,826,000
Increase (decrease) resulting from:			
State income taxes, net of federal tax benefit	149,000	(47,000)	52,000
Percentage depletion	(913,000)	(523,000)	(385,000)
Valuation allowance	220,000	661,000	-
Domestic production activities deduction	(147,000)	-	-
Minority interest in consolidated income (loss)	22,000	(138,000)	(6,000)
Other	(30,000)	64,000	63,000
Provision for income taxes	$ 3,960,000	$ 1,350,000	$ 1,550,000

The tax effects of significant temporary differences relating to deferred taxes shown on the balance sheets were:

	2005	2004
Current:		
Allowance for doubtful accounts	$ 241,000	$ 291,000
Accrued vacation	383,000	351,000
Other	41,000	44,000
Net current deferred tax assets	$ 665,000	$ 686,000
Noncurrent:		
Depreciation	$ (653,000)	$ (308,000)
Postretirement benefits	5,127,000	4,551,000
Minimum pension liability	1,480,000	495,000
Unrealized holding gains	(3,240,000)	(3,000,000)
Net operating loss carryforwards	1,038,000	320,000
Other, net	359,000	(93,000)
Net long-term deferred tax assets	$ 4,111,000	$ 1,965,000

Some of the Company's subsidiaries file separate federal and/or state income tax returns which have resulted in net operating loss carryforwards. Deferred taxes resulting from net operating loss carryforwards are included in the above table net of valuation allowances. The valuation allowance has been used to reduce the tax benefit associated with the net operating loss carryforwards. The provision for income taxes and income tax liabilities recorded in the financial statements include those separate calculations.